

FREE GUIDE · 2026 EDITION

Your home, your housing pension: a plain-English guide to reverse mortgages

- WHAT IT IS
- WHO IT'S FOR
- WHAT IT COSTS

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WELCOME

A straight answer, not a sales pitch

You've spent decades paying down your home. A reverse mortgage is one way to let that equity work for you in retirement, while you keep living in the home you love.

It's also a loan with real costs and real rules, and it isn't right for everyone. I've helped a lot of families with reverse mortgages, and the happiest ones understood exactly how it works before they signed, usually with their kids at the table.

That's what this guide is for. It explains how a reverse mortgage works in plain English, who it fits (and who it doesn't), what it costs, and how it protects you and your family. No pressure, no jargon.

When you're ready to see your own numbers, our team is a phone call away.

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2 Is it right for you?

3 Your options and how you get the money

4 What it costs

5 What protects you and your family

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1 · HOW IT WORKS

How a reverse mortgage works, in plain English

It's a loan against your home's equity where **you don't make a monthly mortgage payment**. Instead, interest and fees are added to the balance over time.

1
You keep the title and keep living in your home.

2
You receive money as a line of credit, monthly payments, a lump sum, or a mix.

3
The balance grows over time instead of shrinking.

4
The loan is repaid when the last borrower sells, moves out, or passes away, usually from the sale of the home.

> **What you still pay:** property taxes, homeowners insurance, HOA dues if you have them, and basic upkeep. That's the deal, and it's how you keep the loan in good standing. Any equity left when the home is sold belongs to you or your heirs.

The "housing pension" idea

In much of the world, a reverse mortgage isn't seen as a last resort. It's seen as a pension paid by your home: you spent decades building equity, and in retirement it pays you back while you age in place.

South Korea
Jutaek Yeongeum: "Home Pension," government-backed, age 55+

Switzerland
Immobilienrente: "real estate pension"

Sweden
Hypotekspension: "mortgage pension"

United States
HECM: a federally insured "reverse mortgage"

Same idea, different name. In the U.S., most reverse mortgages are **HECMs** (Home Equity Conversion Mortgages), insured by the Federal Housing Administration (FHA). There are also private ("proprietary") reverse mortgages for higher-value homes or for people who want to keep their current first mortgage.

2 · IS IT RIGHT FOR YOU?

Who it fits, and who it doesn't

Often a good fit

- Homeowners **62 or older** (some private programs start at 55, depending on state) with solid equity
- People who want to **end a monthly mortgage payment** and free up cash flow
- Retirees who want a **safety net**: a line of credit for health care, home repairs, or a market downturn
- Anyone who wants to **age in place** instead of selling and moving

Usually not the right fit

- You plan to **move within a few years**
- You may need **long-term care** soon (a HECM comes due after more than 12 months in a row away from home)
- Paying **property taxes and insurance** would still be a stretch
- Leaving the home **free and clear to your heirs** is your top priority

The basic requirements for a HECM

- **Age 62 or older** for every borrower. A younger spouse can still be protected.
- **Primary residence:** you live in the home as your main home.
- **Enough equity** to pay off any current mortgage and still leave a meaningful benefit. Often around half the home's value or more; it depends on the youngest borrower's age, interest rates, and your home's value (FHA counts value up to $1,249,125 in 2026).
- **Independent counseling** with a HUD-approved counselor before you apply. Family members are welcome.
- **A financial assessment** of your income, credit, and history of paying property taxes and insurance. If there are gaps, part of the loan may be set aside to pay those bills for you.
- **An eligible home:** single-family, 2–4 units you live in, FHA-approved condos, and some manufactured homes.

Don't guess whether you qualify. Give us your age, your home's rough value, and what you owe, and we'll tell you in one conversation whether it makes sense, before anyone pulls credit.

3 · YOUR OPTIONS

Three kinds of reverse mortgage

	FHA-insured HECM	Jumbo (proprietary) reverse	Reverse mortgage second
Who backs it	FHA insurance	Private lender	Private lender
Best for	Most homes, up to FHA's national limit	Higher-value homes above FHA's limit	Keeping your current first mortgage
Your first mortgage	Paid off at closing	Paid off at closing	Stays in place
Minimum age	62	62, or 55 in some states	55 (62 in Texas)
Rate	Fixed or adjustable	Varies by program	Fixed
Counseling	Required (HUD-approved)	Varies by program	Independent counselor

Jumbo reverse mortgages and reverse mortgage seconds are not FHA-insured HECMs. Terms, ages, and availability vary by program and state.

How you can take the money (HECM)

Line of credit

Draw only when you need it. The unused part **grows over time**, so money you don't touch today can be more money available later.

Monthly payments

For life while you live in the home, or for a set number of years.

Lump sum

One payment at closing (fixed-rate option). Often used to pay off an existing mortgage.

HECM for Purchase

Buy your next home, often a right-sized one, with no monthly mortgage payment afterward.

You can also **mix and match**: for example, pay off your current mortgage and keep the rest as a growing line of credit.

4 · WHAT IT COSTS

Every cost, up front

Reverse mortgages cost more up front than a regular mortgage. We believe you should see every piece before you decide. On an FHA-insured HECM, the main costs are set by HUD:

Cost	What it is	How much
Upfront FHA mortgage insurance	Pays for the FHA insurance that protects you and your heirs	2% of the home's value (up to FHA's national limit)
Annual FHA mortgage insurance	Ongoing insurance, added to the balance	0.5% of the loan balance per year
Origination fee	The lender's fee, capped by HUD	Greater of $2,500 or 2% of the first $200,000 of value plus 1% above that; never more than $6,000
Closing costs	Appraisal, title, escrow, recording, counseling	Vary by state and home
Interest	Added to the balance each month	Fixed or adjustable rate

> **Most of these can be paid from the loan itself** rather than out of your pocket. That's convenient, but it also means less equity left later, so we'll show you both numbers.

Jumbo reverse mortgages and reverse mortgage seconds don't carry FHA insurance, so their costs are structured differently. We'll lay any options side by side, along with the alternatives: selling and downsizing, a HELOC, or a home equity loan.

How we're paid

The Mortgage Advisory arranges reverse mortgages through approved partner lenders as your mortgage broker. We'll tell you up front who your lender is and exactly how we're paid; it's all on your Loan Estimate.

5 · PROTECTIONS

What protects you and your family

- **You keep your home.** The title stays in your name. You can't be forced out as long as it's your main home and you keep up with taxes, insurance, and upkeep.
- **Non-recourse (HECM).** Neither you nor your heirs will ever owe more than the home is worth, even if the balance grows past it.
- **Independent counseling.** Before a HECM, you meet with a HUD-approved counselor who doesn't work for us.
- **Eligible non-borrowing spouses** can have protections to stay in the home under HECM rules.
- **A set-aside for taxes and insurance** can be built into the loan so those bills are paid for you.

When the loan comes due

There's no monthly mortgage payment, but the loan comes due when the last borrower sells, passes away, or moves out for good (including more than 12 months in a row in a care facility), or if property taxes, insurance, or HOA dues aren't paid, or the home isn't kept in reasonable repair.

What your heirs can do

Keep it

Pay off the loan, usually with a new mortgage. On a HECM, for the lesser of the balance or 95% of the appraised value.

Sell it

Pay off the loan from the sale and keep any equity left over.

Walk away

If the home is worth less than the loan, hand it back. On a HECM, heirs never owe the difference.

On a HECM, heirs generally have 30 days to respond and about 6 months to sell or refinance, with possible extensions if they're actively working on it.

> **Our advice:** keep a family member in the loop, open any mail from your loan servicer right away, and send back the yearly occupancy form. When people have problems, it's almost always because taxes, insurance, or paperwork slipped through the cracks.

6 · MYTHS AND FACTS

What people get wrong

MYTH	FACT
The bank takes your house.	The title stays in your name. You live there as long as it's your main home and you keep up with taxes, insurance, and upkeep.
My kids will be stuck with the debt.	On a HECM, your heirs never owe more than the home is worth. They can keep it, sell it and keep the equity, or walk away.
It's free money.	It's a loan. Interest and fees add up over time, and there's usually less equity left later. That's the trade-off.
You can't have one if you still owe on your home.	Many borrowers use a reverse mortgage to pay off their current mortgage and end that monthly payment.
It's a last resort.	Many planners use a HECM line of credit early, as a growing safety net, rather than waiting for an emergency.

Red flags: what a real scam looks like

- Someone **rushing you to sign**, or telling you to skip counseling or leave your family out of it
- Being told to put the money into an **annuity, insurance policy, or investment** they happen to sell (in California, no one can require you to buy an annuity to get a reverse mortgage)
- Promises like **"free money"** or **"no payments ever"**
- A **contractor offering to "set up the loan"** to pay for their own work
- Anyone asking you to **sign over your deed**

> If you run into any of that, **stop**. Bring in a family member, and don't sign anything until you've had your counseling session.

7 · NEXT STEPS

Your checklist

Questions to ask any lender

- [ ] Is this an FHA-insured HECM or a private (proprietary) loan?
- [ ] Who is the actual lender, and how are you paid?
- [ ] What are all the upfront costs, and how much will come from the loan?
- [ ] How much can I get as a line of credit, and how does it grow?
- [ ] What happens to my spouse if I pass away or move to care first?
- [ ] How will my property taxes and insurance be paid?
- [ ] What would my heirs' options be?
- [ ] How does this compare with selling, a HELOC, or doing nothing?

Have these handy for the first call

- [ ] The age of each homeowner (and spouse)
- [ ] Your home's rough value
- [ ] What you owe on your mortgage, if anything
- [ ] Your latest property tax bill and insurance policy
- [ ] Your monthly income (Social Security, pension, retirement accounts)
- [ ] A family member or trusted advisor who'd like to join

Please don't send Social Security or account numbers by email or text. We'll collect documents securely when it's time.

See your own numbers

Book a no-pressure call with an advisor. We'll tell you plainly whether a reverse mortgage fits, and compare it with your other options.

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The Mortgage Advisory, Inc. is a mortgage banker and broker licensed in California, Texas, Florida, and Colorado, NMLS #1549739. Founded by Ace Ausar, a mortgage banker with 25+ years in real estate and lending. We lend directly on conventional, VA, and Non-QM loans, and we arrange FHA loans, reverse mortgages (HECM and proprietary, including second-lien reverse mortgages), and HELOCs through approved partner lenders as your mortgage broker. We always tell you up front who your lender is and how we're paid.

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Important disclosures

- This material has not been reviewed, approved, or issued by HUD, FHA, or any government agency.
- With a reverse mortgage, borrowers must continue to pay property taxes and homeowners insurance and maintain the home. The loan becomes due when the last borrower no longer lives in the home as a primary residence, sells the home, or does not meet the loan terms.
- Proprietary reverse mortgages, including second-lien reverse mortgages, are not FHA-insured Home Equity Conversion Mortgages (HECMs). Terms, eligibility, and availability vary by program and state.
- The Mortgage Advisory is not affiliated with or endorsed by HUD or the Federal Housing Administration.
- Figures in this guide (including FHA limits and HUD-set costs) are current as of 2026 and can change. Examples are illustrative only.
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